# Research note: the competing bids for Warner Bros. Discovery (WBD)

*Position at 27 February 2026*

## Recommendation

**WBD should accept Paramount's $31.00 all-cash bid.** It is the higher price, it is simpler (no Discovery Global separation), and it moves more risk to the buyer. Netflix should not raise its offer.

| | Paramount | Netflix |
|---|---|---|
| **Price** | $31.00 cash; +$0.25/share per quarter ticking fee after 30 Sep 2026 [1] | $27.75 cash (all-cash since Jan 2026); holders keep Discovery Global shares [2] |
| **Scope / value** | Whole company; EV ~$110bn, equity ~$81bn fully diluted [1] | Warner Bros. only, after separation; EV $82.7bn, equity $72.0bn [3] |
| **Fee if regulators block** | $7bn [4] | $5.8bn [5] |
| **$2.8bn Netflix break fee** | Paid by Paramount for WBD [6] | Owed by WBD on a superior bid [6] |

## Why Paramount is stronger for WBD

Cash for the whole company is easy to value, whereas Netflix's value depends on the separation and on how debt is split. Paramount also raised its regulatory fee to $7bn and covers the $2.8bn WBD owes Netflix. Main risks: regulatory approval, and financing of about $47bn of new equity and $54bn of debt commitments [1]. The ticking fee only partly offsets delay.

## Why Netflix should not match

Matching adds $3.25 per share, about $8.1bn on ~2.48bn basic shares. Netflix's own case was $2–3bn of annual cost savings by year three [3]; at 10% that capitalises to $20–30bn before tax and integration costs, against a premium of $15.21 per share (~$37.7bn) over WBD's undisturbed $12.54 [7]. The case therefore depends on revenue synergies, the least certain kind, and bidders who win by out-estimating rivals risk the winner's curse. Walking away pays Netflix $2.8bn [6].

## Market reaction

Netflix closed at $96.24 on 27 February, up 13.8% from $84.59 [8]; its shares had fallen when the bid was announced and again when the agreement was signed [9]. Its co-CEOs said that at the price needed to match, the deal was “no longer financially attractive” [10]. The $2.8bn fee is about $0.67 per share (~4.2bn shares, approximate), roughly 6% of the $11.65 gain, so most of the move is the market rewarding capital discipline and the avoided $82.7bn, debt-funded deal. This split is an inference, not an event study. Paramount rose nearly 21% [11], unusual for a winning bidder. A plausible reading is that Netflix's exit capped the price and signalled that $31.00 was within Paramount's synergy estimate (over $6bn a year [1]). At a 10% discount rate that is $60bn pre-tax against a $45.8bn premium; after 21% tax it is about $47bn, so integration costs could erase the gain.

## Basis of figures

Share counts: all calculations use ~2.48bn basic shares, because the undisturbed market value ($12.54 × 2.48bn = $31.1bn) and Paramount's $76.9bn offer ($31.00 × 2.48bn) are on that basis. Reported equity values ($72.0bn, ~$81bn) are fully diluted and are not comparable with $31.1bn. Assumptions are mine: 10% discount rate, no phase-in, synergies as a perpetuity.

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